

Interview Feedback

Brew & Bean Profitability · 2026-10-02 · Overall: strong

Top improvement

Tighten the opening: front-load one sharp hypothesis-driven structure rather than stacking three scoping questions before answering the interviewer's repeated request for a structure — the content was excellent but the sequencing briefly delayed it.

Rubric Scores

Problem Structuring

strong

What went well

The candidate built structure from first principles with a clear cost-driven hypothesis, but stated prioritization of where the answer lived as a hypothesis without framing it as an explicit starting point before diving in.

"Profit = Revenue - Costs, and since revenue is up 15% while margin fell from 24% to 6%, costs have grown much faster than revenue. So my hypothesis is this is cost-driven"

"On revenue, I'd break it into number of transactions × average ticket."

"my hypothesis is this is cost-driven, though I'll sanity-check revenue quality too"

Self-audited the tree for MECE gaps when challenged, adding below-the-line, mix, and channel branches

"Net profit also sits below interest and taxes, so I should explicitly carry a below-the-line bucket"

"my fixed/variable split blurs a distinction I care about: costs that scale with store count versus costs that scale with volume per store"

Quantitative & Analytical Rigor

strong

What went well

Laid out the equation first and reconciled input inflation to the exact reported COGS figure with correct nested-percentage math

"Beans were 25% of that = 10.5% of revenue; everything else = 31.5% of revenue."

"Beans: $10.5\% \times 1.40 = 14.7\%$ of revenue. Other inputs: $31.5\% \times 1.375 = 43.3\%$ of revenue. Total: $14.7 + 43.3 = 58.0\%$ of revenue."

Correctly derived margin change and sized the pricing fix with stated business implication

"a 15% price increase takes revenue to \$552M and margin to about 18%. Getting back to 24% needs roughly 24% pricing, which I wouldn't do in one move."

Sanity-checked the full tree by summing contributions to the total margin decline

" $16 + 2 = 18$, which is the full margin decline, so the tree is fully accounted for."

Data & Exhibit Interpretation

strong

What went well

Immediately isolated COGS as the driver and quantified its share of total decline

"That's the whole story right there — 16 points of margin, and the total decline is 18 points. So COGS is essentially the entire problem"

Read the time-series exhibit systematically and surfaced a non-obvious operating-leverage insight on overhead

"COGS 42 '50 '58, so roughly 8 points a year, steady and ongoing, not a one-time shock."

"if revenue grew 15%, overhead should have fallen as a percent of revenue through operating leverage. Rising instead suggests corporate cost is growing faster than the store base."

Probed exhibit definitions before trusting them, checking for reclassification artifacts

"does COGS here include store labor, or is it purely product inputs — beans, milk, cups, food? If labor got reclassified into COGS at some point, part of that jump is accounting rather than real."

Business Judgment & Insight

strong

What went well

Correctly reframed the root cause as pricing rather than cost mismanagement, with commercial reasoning about pricing power

"the root cause isn't costs being mismanaged, it's pricing not responding."

"Flat footprint and flat prices means the entire 15% revenue growth is traffic — volume is up 15% per store. That's a demand-healthy business, which matters: they have pricing power they aren't using."

Surfaced risks and a measured rollout rather than a blanket recommendation

| *"phase 10-12% over two to three quarters"*

| *"elasticity is unknown, and 15% traffic growth may partly be price-driven switching. Next step — test increases in a store subset"*

Protected lean cost lines rather than cutting indiscriminately

| *"Labor I'd leave alone — it's stable and cutting it risks service."*

Creativity & Brainstorming

strong

What went well

Organized the brainstorm into distinct buckets ordered by impact

| *"Other levers, roughly in order of impact: Procurement."*

| *"Mix shift. Push higher-margin items — espresso drinks and food attach rather than brewed coffee"*

Produced a non-obvious idea around channel/mix and absolute cost pools, not just the obvious cost cuts

| *"These sit in the 'other inputs' bucket that inflated 37.5% and is 43 points of revenue — the biggest absolute pool. Cheaper cup specs or SKU rationalization there."*

Synthesis & Recommendation

strong

What went well

Led answer-first with a crisp headline tied to the analysis

| *"Headline: Brew & Bean doesn't have a cost-control problem, it has a pricing problem. Input costs rose ~38% over two years and they passed through zero."*

Supported the recommendation with sized evidence, a paired lever, named risk, and next step within time

| *"phase 10-12% over two to three quarters, paired with procurement and hedging to claw 3-4 points, and hold overhead flat."*

| *"Next step — test increases in a store subset and measure traffic response before a national rollout."*

Communication & Delivery

strong

What went well

The candidate was consistently top-down and signposted with hypothesis language throughout, but early scoping ran to three consecutive questions before producing any structure, mildly testing the interviewer's patience.

| *"Before I lay out a structure, I want to make sure I understand the business."*

| *"Let me test whether input inflation alone explains it."*

| *"Last scoping question, then I'll go: over these two years, has the client made any major strategic changes"*

Narrated math steps clearly and transitioned cleanly between stages

| *"Let me anchor the beans figure."*

| *"Let me use those numbers. 200 stores × \$2.4M = \$480M revenue today."*

Pushback, Composure & Case Leadership

strong

What went well

Handled the MECE challenge by substantively strengthening the tree rather than capitulating or defending

| *"Mostly, but not fully. A couple of gaps."*

| *"I didn't carve out one-time versus recurring costs — write-offs or closure charges would look like margin decline but wouldn't be structural."*

Drove the case forward and answered the CEO headline request crisply and on demand

| *"Shall I size what price increase restores margin?"*

Adapted to refused data by stating a reasonable assumption and moving on

| *"Fair — I'll assume moderate elasticity and recommend phased increases rather than one jump."*

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 0:44

Before I lay out a structure, I want to make sure I understand the business. Can you tell me what's driving the 15% revenue growth — is that mostly new store openings over the two years, or same-store sales growth at the existing 200 locations? That changes a lot about where I'd look first.

Interviewer · 0:47

I don't have that breakdown. Assume it's in scope either way. What's your structure?

Candidate · 1:33

Understood — I'll assume it's a mix and test both later.

One more scoping question before I structure: is this margin decline isolated to Brew & Bean, or are competitors in specialty coffee seeing similar compression? That tells me whether we're looking at an industry-wide cost shock, like coffee bean prices or wage inflation, versus something company-specific.

Interviewer · 1:35

I don't have competitor data. Treat it as company-specific for now. Lay out your structure.

Candidate · 2:18

Okay, company-specific. Last scoping question, then I'll go: over these two years, has the client made any major strategic changes — new store formats, a menu overhaul, a shift to delivery apps, or big investments in equipment or tech? If there's a known change, that's a strong candidate for the cost driver.

Interviewer · 2:20

I don't have anything flagged on that. Walk me through your structure.

Candidate · 3:51

Alright, I'll build it from first principles.

$\text{Profit} = \text{Revenue} - \text{Costs}$, and since revenue is up 15% while margin fell from 24% to 6%, costs have grown much faster than revenue. So my hypothesis is this is cost-driven, though I'll sanity-check revenue quality too.

On revenue, I'd break it into number of transactions $\times$ average ticket. Revenue could be up on volume while price per cup is flat or discounted — that grows the top line but not profit.

On costs, I'd split fixed versus variable. Variable: coffee beans, milk, cups, food inventory, and store labor. Fixed: rent and occupancy, corporate overhead, marketing, depreciation on equipment, and any debt service.

I'd want to see each line as a percent of revenue two years ago versus today, and find which lines expanded. Do we have a cost breakdown in those terms?

Interviewer · 3:53

On the data you asked for — I'll come to that shortly. Before data — is that structure MECE? What's missing, if anything?

Candidate · 5:23

Mostly, but not fully. A couple of gaps.

First, I jumped to Revenue minus Costs and treated net margin as if it's all operating. Net profit also sits below interest and taxes, so I should explicitly carry a below-the-line bucket — interest expense if they've levered up to fund growth, and tax rate changes. A 24-to-6 swing could partly live there.

Second, my fixed/variable split blurs a distinction I care about: costs that scale with store count versus costs that scale with volume per store. If they opened stores, new-store costs can hit before those stores mature, which is a mix effect rather than a true cost inflation problem. I'd add that as a separate branch.

Third, I didn't carve out one-time versus recurring costs — write-offs or closure charges would look like margin decline but wouldn't be structural.

On the revenue side, I'd also add channel mix, since delivery platforms carry commissions that hit margin without hitting the top line.

Interviewer · 5:25

Good, that's a fuller tree. Here's the cost breakdown you asked for. COGS is 58% of revenue today, up from 42% two years ago.

Candidate · 6:33

That's the whole story right there — 16 points of margin, and the total decline is 18 points. So COGS is essentially the entire problem; everything else moved maybe two points combined.

Before I dig in, one question on the exhibit: is that 58% measured on the same cost definition as the 42%? Specifically, does COGS here include store labor, or is it purely product inputs — beans, milk, cups, food? If labor got reclassified into COGS at some point, part of that jump is accounting rather than real.

Interviewer · 6:35

Same definition both periods, product inputs only — labor is separate. On what you asked for: Labor is 22% of revenue, and it's been stable. On the data you asked for — I'll come to that shortly. Where do you take it next?

Candidate · 8:05

Clean read, then — labor stable, so this is purely product input cost per dollar of revenue.

COGS as a percent of revenue can rise two ways: the cost per unit went up, or the price we charge per unit went down. Both show up identically in that ratio, and they lead to completely different recommendations, so I need to separate them.

On the cost side: do we have a split of that COGS line by input — beans, dairy, cups and packaging, food? Coffee is a traded commodity and arabica has been volatile, so if beans alone went from, say, 15% to 28% of revenue, that's a sourcing and hedging problem.

On the price side: has the client taken any menu price increases over these two years? If input costs rose 15-20% and they held prices flat to protect traffic, that fully explains the compression — and it also explains volume-led revenue growth with no profit.

I'd also check waste and spoilage rates, since that inflates COGS without any input price change.

Interviewer · 8:08

Here's what I have on the COGS breakdown. First, beans as a share of COGS: Coffee beans were 25% of COGS two years ago. On what you asked for: Menu prices have not changed in two years. On the data you asked for — I'll come to that shortly.

Candidate · 9:39

Prices flat for two years is a big piece — if input costs inflated at all, margin absorbs 100% of it, and it also explains why revenue growth is volume-led rather than price-led.

Let me anchor the beans figure. Two years ago, beans at 25% of a 42% COGS line is $0.25 \times 42\% = 10.5\%$ of revenue. For today I need the current share — if beans are still 25% of COGS, that's $0.25 \times 58\% = 14.5\%$ of revenue, so about 4 points of the 16. That would mean beans are a real contributor but not the majority, and I'd have to find another 12 points in dairy, packaging, food, or waste.

If instead beans have grown to, say, 45% of COGS, that's 26% of revenue — over 15 points by itself, and the case is a single-input sourcing story.

Do we have beans as a share of COGS today?

Interviewer · 9:42

I don't have beans as a share of COGS today. I do have the input cost changes you asked about earlier. Here's the bean price change over two years, and the other input changes. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 11:13

Let me test whether input inflation alone explains it.

Two years ago: COGS 42% of revenue. Beans were 25% of that = 10.5% of revenue; everything else = 31.5% of revenue.

Apply the inflation, holding menu prices flat so the revenue denominator per unit doesn't move:

Beans: $10.5\% \times 1.40 = 14.7\%$ of revenue.

Other inputs: $31.5\% \times 1.375 = 43.3\%$ of revenue.

Total: $14.7 + 43.3 = 58.0\%$ of revenue.

That lands exactly on the reported 58%. So the entire 16-point COGS expansion is explained by input price inflation passed through to a flat menu — no waste problem, no mix problem, no sourcing failure needed to explain it. And beans are still only about a quarter of COGS, so this is broad-based commodity inflation, not a coffee-specific shock.

Implication: the root cause isn't costs being mismanaged, it's pricing not responding. Shall I size what price increase restores margin?

Interviewer · 11:16

That reconciles cleanly. Before pricing — may I show you the exhibit on cost structure over time?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 12:46

That confirms and adds a little. COGS 42 ' 50 ' 58, so roughly 8 points a year, steady and ongoing, not a one-time shock. Labor flat at 22 the whole way. Overhead drifted 12 ' 13 ' 14, two points — small, but it's a real second contributor. $16 + 2 = 18$, which is the full margin decline, so the tree is fully accounted for.

The overhead creep is worth a flag: if revenue grew 15%, overhead should have fallen as a percent of revenue through operating leverage. Rising instead suggests corporate cost is growing faster than the store base.

Before I size pricing, one scoping question: do we know anything about price elasticity or customer sensitivity — repeat visit frequency, loyalty mix, or how traffic responded the last time they raised prices? That determines how much of a price increase I can realistically recommend.

Interviewer · 12:48

I don't have elasticity or traffic data. Beyond the pricing lever we've been discussing, what else could the client do to rebuild margin?

Candidate · 14:19

Fair — I'll assume moderate elasticity and recommend phased increases rather than one jump.

Other levers, roughly in order of impact:

Procurement. COGS is 58% of revenue, so a 5% reduction in input cost is about 3 points of margin. Levers: forward contracts or hedging on beans and dairy to stop absorbing spot volatility, renegotiated volume terms given 200 locations, and consolidating suppliers.

Mix shift. Push higher-margin items — espresso drinks and food attach rather than brewed coffee — and raise average ticket without a headline price change. Same effect as pricing but less visible to customers.

Portion and waste control. Standardize milk pours and shot weights, tighten end-of-day production. Even a 2-3% yield improvement on a 58% line is over a point.

Packaging and food. These sit in the "other inputs" bucket that inflated 37.5% and is 43 points of revenue — the biggest absolute pool. Cheaper cup specs or SKU rationalization there.

Overhead. Reverse the 12 ' 14 drift; corporate should scale sublinearly with stores.

Labor I'd leave alone — it's stable and cutting it risks service.

Interviewer · 14:21

Suppose the CEO pulls you aside and wants the headline now. Before we wrap, on what you asked about earlier: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Average revenue per store is \$2.4M a year. What's your recommendation?

Candidate · 16:04

Let me use those numbers. $200 \text{ stores} \times \$2.4\text{M} = \$480\text{M}$ revenue today. Flat footprint and flat prices means the entire 15% revenue growth is traffic — volume is up 15% per store. That's a demand-healthy business, which matters: they have pricing power they aren't using.

Headline: Brew & Bean doesn't have a cost-control problem, it has a pricing problem. Input costs rose ~38% over two years and

they passed through zero. That alone reconciles to the 58% COGS line exactly.

Sizing it: costs today are 94% of revenue, or \$451M. Holding volume and cost constant, a 15% price increase takes revenue to \$552M and margin to about 18%. Getting back to 24% needs roughly 24% pricing, which I wouldn't do in one move.

So: phase 10-12% over two to three quarters, paired with procurement and hedging to claw 3-4 points, and hold overhead flat.

Risks: elasticity is unknown, and 15% traffic growth may partly be price-driven switching. Next step — test increases in a store subset and measure traffic response before a national rollout.

Interviewer · 16:06

That's time. Thanks for working through it — your written report will follow.